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STATE OF STABLECOINS IN THE UAE

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STABLECOIN CONNECT

At the recent Solana Stablecoin Connect, our Senior Associate, **Alla Melnichenko**, was delighted to join the stage and discuss **how stablecoins are currently treated in the UAE and what the potential is in global payments.**

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HERE ARE KEY INSIGHTS

YOU MIGHT HAVE MISSED ABOUT STABLECOINS IN THE UAE

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#1 THE REGIME IS LIVE

The UAE has **three different dedicated frameworks** for stablecoin issuance:

- UAE Central Bank's Payment Tokens
- VARA's Category 1 Fiat-Referenced Virtual Assets (FRVAs)
- ADGM's Fiat- Referenced Tokens (FRTs)

STABLECOIN ISSUANCE IS A REGULATED ACTIVITIY AND LICENSING IS MANDATORY.

مصرف الإمارات العربية المتحدة المركزي
CENTRAL BANK OF THE U.A.E.

VARA
سُلطة تنظيم الأصول الافتراضية
VIRTUAL ASSETS REGULATORY AUTHORITY

ADGM
أبوظبي العالمي

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#2 AED-FIRST PAYMENTS

Onshore retail payments are designed to be **dirham-centric**. Dirham-pegged stablecoins serve as the intended means for everyday transactions.

Stablecoins denominated in foreign currencies have limited applications onshore, primarily confined to virtual-asset purchases.

ISSUANCE AND SERVICING OF ALGORITHMIC STABLECOINS ARE NOT PERMITTED IN THE UAE.

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#3 TRANSITION PERIOD IS OVER

From August 2025, merchants are only allowed to receive crypto payments **for goods and services in approved AED payment tokens.**

This brings to a close the transition period established by the Central Bank in August 2024.

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#4 REGULATORY EXPECTATIONS ARE HIGH

Stablecoin issuance rules across all UAE jurisdictions mandate:

- sufficient reserves,
- adequate liquid funds,
- routine audits, disclosures, and
- transparent redemption rights.

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#5 VARA'S UNIQUE APPROACH: ARVA & FRVA

ASSET-REFERENCED VIRTUAL ASSETS (ARVAS)

TOKENS REFERENCING AN RWA

ARVA requirements focus more on reserve composition, valuation/ rebalancing methodologies, and risk disclosures.

FIAT-REFERENCED VIRTUAL ASSETS (FRVAS)

TOKENS PEGGED 1:1 TO A FOREIGN CURRENCY

FRVA issuers are subject to a tighter standard on reserves, redemption at par, disclosures/ attestations, and governance.

BOTH REQUIRE A CATEGORY 1 (ISSUANCE) LICENCE

#6 ASSOCIATED ACTIVITIES ARE ALSO REGULATED

Stablecoin-related services *(custody, transfer, exchange, payment processing, and settlement)* are subject to oversight, with the competent authority determined by the firm's regulatory perimeter (CBUAE, VARA, or FSRA).

VASPs already licensed for virtual-asset activities may, in certain cases, proceed with payment-token exchange or custody on the basis of a Central Bank non-objection (NOC) rather than a separate licence; however, **payment and settlement providers are required to obtain full authorisation from the CBUAE.**

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BOOK A FREE CONSULTATION

Map your stablecoin strategy under CBUAE, VARA (FRVA/ARVA), and ADGM FRTs - licensing, timelines, and compliance in one session.

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